

The contractor is the investor.

A \$3,000,000 real estate fund built on one structural advantage: we are a licensed Los Angeles general contractor buying, renovating and holding our own projects — so the margin a contractor normally takes stays in the deal.

**20-
35%**

below-market
construction cost

\$3.0M

target fund size

23

deals underwritten this
week

5

cleared for investment

Most real estate investors buy a property and then hire someone to fix it. We already own the crews. That single difference decides whether a marginal deal is a loss or a profit — and in this market, most deals are marginal.

Javad, Principal — Solid Ground Construction

Los Angeles is picked over. The spread has moved to whoever can build cheapest.

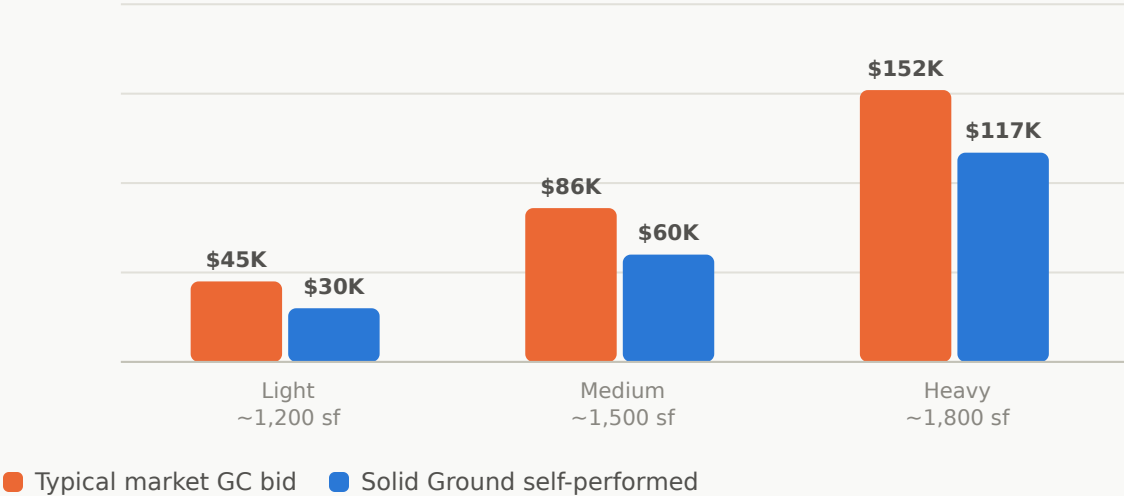
- **Entry prices haven't fallen as fast as exits.** Across the submarkets we track, sold medians are down 5–13% year over year while sellers still list at last year's expectations.
- **Construction is the largest single cost** in a value-add deal, and the one most investors have no control over. A bid comes in 30% high and the deal simply dies.
- **Everyone is hunting the same MLS inventory,** so the visible discounts are gone before an investor without a crew can even price the work.

WHAT THAT MEANS

A passive buyer needs the market to rise to make money. We need only to build for less than the person we bought from could have. One of those is a forecast. The other is an operating fact.

The same renovation, priced two ways

Solid Ground self-performs demolition, framing, MEP, finishes and ADU construction with in-house crews and direct supplier accounts. Investors are not paying a general contractor's margin on top of the work.



WHY THE GAP IS DURABLE

It is not a discount we negotiate deal by deal — it is the absence of a markup. The team that prices the renovation is the team that performs it, so there is no contractor margin, no bid padding for unknowns, and no change-order surprise when the walls open up.

The same crews are already working in these neighbourhoods every day, which is also where a good deal of our off-market deal flow comes from.

Sun Valley ADU project — the cost advantage *is* the deal

A house on an oversized lot in Sun Valley: renovate the home and build a detached ADU, then sell as a two-unit property against verified \$1.2M comparable sales. Same purchase price, same exit. Only the construction cost changes.

Built by Solid Ground		Built by a market GC	
Sale price, house plus ADU		\$1,330,000	
Purchase		-\$815,000	
Renovation and ADU build		-\$255,000	
Loan points and interest		-\$97,014	
Closing and carrying costs		-\$21,825	
Selling costs		-\$79,800	
Project profit		\$61,390	

\$61,390

project profit, built at Solid Ground cost
Purchase \$815,000 · exit \$1,330,000 · 12 months

Renovation and ADU together cost \$255,000 at our own cost. The deal clears.

A written buy box, applied to every deal, every day

70%

maximum offer as a share of after-repair value, minus renovation

\$75K

minimum projected profit or the deal is passed

\$250K

per-unit ceiling in LA County for multifamily

\$175K

per-unit ceiling in the Inland Empire

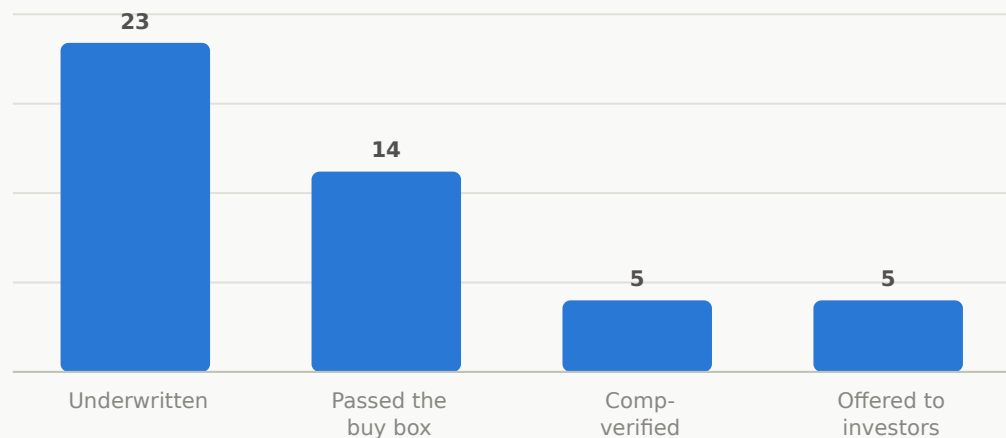
These are not aspirations, they are filters. Every listing the sourcing engine finds is scored against them automatically before a human looks at it, and the ones that fail are dropped. Financing is underwritten at hard money of 11.5% plus 2.5 points and refinanced at a 6.75% debt-service-coverage rate — the terms we actually get, not the ones that make a model look good.

Deal Scout — the sourcing engine runs before we wake up

Every weekday at 6:00 AM an automated agent sweeps Los Angeles County and the Inland Empire, underwrites everything it finds against the buy box, and publishes a graded board. Nothing about this is manual, and nothing is skipped on a busy week.

01 Sweep Listings, probate filings, notices of default, code-violation and rent-escrow lists across every target submarket.	02 Underwrite After-repair value, renovation at our cost, maximum allowable offer, spread, price per unit and cap rate — computed on every property.	03 Verify Sold comparables pulled for the strongest candidates. Grades move up or down on what the comps actually say.	04 Grade A to D against the buy box. D is a pass. Only comp-verified deals reach investors.	05 Publish The board and the investor portal refresh together, every weekday morning.
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23 properties underwritten. 5 cleared.



- **9 dropped on the numbers.** Negative spread at list, or a maximum offer so far below the ask that no negotiation closes it.
- **9 held back after comp review.** The comparable sales did not support the assumed exit, or the margin would not clear a preferred return.
- **5 cleared for investment.** Comp-verified, inside the buy box, with a downside case we are willing to show you.

The ratio matters more than the count. A pipeline that produces five investable deals out of twenty-three is doing its job. One that clears twenty is not underwriting.

The comparable sales overrule us — in both directions

Grading is not a marketing exercise. Two deals from this week moved on what the comps said, and one of them moved down.

UPGRADED · B+ → A-

4900 block of Lennox Blvd — 8 units

At \$187.5K per unit against a \$231K submarket average, and below the \$206K per unit the nearest 8-unit sale fetched at full asking price. It is the only deal on the board priced clearly below its own comp set.

What we still tell you: the submarket is down about 12% and rents down 3-5%. This is a buy-the-dip hold into 2028, not a quick flip.

DOWNGRADED · A- → B

1400 block of Courtland Ave — 4 units

The headline \$137K per unit looked like a steep discount. The comps showed why it wasn't: the units average about 520 square feet. On a per-square-foot basis it costs \$263 against \$161-180 for every stabilised sale we could find nearby.

Still worth pursuing — we can cure the code violations more cheaply than any competing buyer — but the discount has to be negotiated, not assumed.

What we passed on this week

The deals we decline say more about how your capital will be treated than the ones we like.

PASSED

Arleta — house on an 11,370 sf lot

The ADU premium is real and comp-verified at \$300–450K. But at any price the seller would accept, the build cost and 14-month carry left too little to clear an 8% preferred return. It may still be a fine deal for our own book. It is not one we will syndicate.

PASSED

West Long Beach — 2/1 cottage

Negative spread at the asking price before a single cost. The zip is down 10.5% year over year with the 710 freeway and refinery permanently capping the exit. No amount of construction advantage fixes that.

PASSED

Barstow — 12 units at \$106K a door

The cheapest doors of the entire sweep, and still a pass. A tertiary market with a depopulating base and no exit liquidity is a yield trap: cheap to buy, impossible to sell.

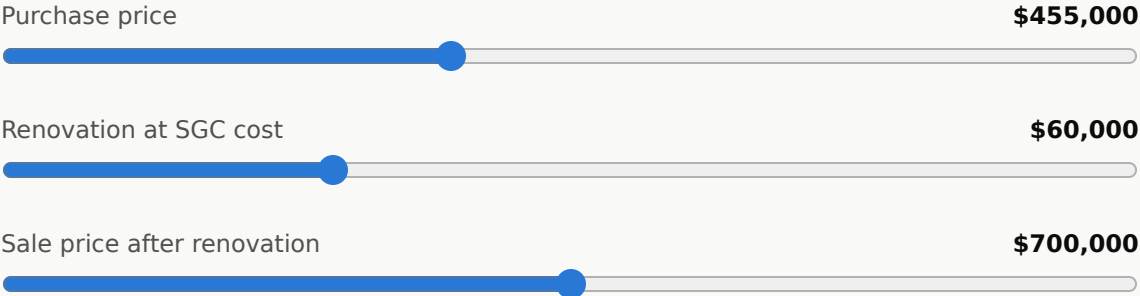
Five deals, with the downside shown first

Projected return on investor capital under three cases: a downside where we pay full asking price, the exit lands 7% under the comped value and renovation runs 15% over; a base case; and an upside. No case assumes appreciation or rent growth.

200 block of W 52nd St B+ South LA (Vermont-Slauson) 90037 · Fix & flip · 6 months · \$172K capital	DOWNSIDE BASE UPSIDE -2.3% 41.7% 55.1%
1400 block of Courtland Ave B Pico-Union 90006 · Multifamily · 18 months · \$348K capital	DOWNSIDE BASE UPSIDE -6.4% 30.8% 40.3%
1100 block of Spring St B+ Riverside 92507 · Multifamily · 24 months · \$276K capital	DOWNSIDE BASE UPSIDE -23.0% 19.4% 34.1%
4900 block of Lennox Blvd A- Inglewood / Lennox 90304 · Multifamily · 24 months · \$554K capital	DOWNSIDE BASE UPSIDE -25.8% 14.6% 27.7%
8500 block of Remick Ave B+ Sun Valley 91352 · ADU / development · 12 months · \$496K capital	DOWNSIDE BASE UPSIDE -18.9% 11.1% 19.9%

Move the purchase price and watch the deal live

This is the same engine behind every number in this presentation, running on the South LA probate flip. Entry price is the whole game — which is why we buy at our maximum allowable offer or walk.



Hard money at 11.5% plus 2.5 points on 85% of purchase · 6-month hold · 1.5% buy closing · \$800 a month carry · 6% selling costs · 8% preferred return then a 70/30 split.

\$99K project profit 41.7% return on your capital	
Sale price after renovation	\$700,000
Purchase	-\$455,000
Renovation at SGC cost	-\$60,000
Points, interest, closing, carry	-\$43,532
Selling costs	-\$42,000
Your capital	\$171,782
Your share of profit	\$71,689

✓ Clears the \$75,000 minimum profit — but above the \$430,000 maximum offer, so we are paying up

South LA probate flip B+

A 4-bed Craftsman on an R2 lot, coming through probate. Renovated three-bedrooms in this zip printed \$660K-\$748K over the last eight months; this one needs only \$467 per square foot to clear a \$700K exit.

Sale price after renovation	\$700,000
Purchase at our target price	-\$455,000
Renovation at SGC cost	-\$60,000
Loan points and interest	-\$31,907
Closing and carrying costs	-\$11,625
Selling costs	-\$42,000
Project profit	\$99,468
Your share, 6 months	\$71,689

WHY IT WORKS

The R2 lot is the safety net. If the resale market softens further we add a second unit and hold instead of selling — the deal has two exits, not one.

WHAT COULD GO WRONG

The zip's sold median fell 13% year over year, so the exit has to be quick and priced to sell at \$699K rather than \$749K. Probate status needs verifying — a 2025 cycle on this property drew a court overbid. And the entry has to land near \$455K; at the \$500K asking price the profit falls to \$50K and the deal stops clearing our own buy box.

Lennox 8-unit reposition A-

The one deal on the board priced clearly below its comparable set — and the clearest illustration of why we show downside first.

- **\$187.5K per unit** against a \$231K submarket average across 460 units traded in the last twelve months.
- **Outside Inglewood rent control.** Lennox is unincorporated LA County, so rents can be brought to market on turnover — subject to confirming parcel jurisdiction in escrow.
- **Room for up to four ADUs,** which is where our construction cost compounds the return rather than merely protecting it.
- **The market is falling now.** Prices down about 12%, rents down 3–5% as the stadium premium deflates.

–25.8% to +27.7%

the honest range of outcomes on \$553,770 of capital over 24 months
base case +14.6%

OUR RECOMMENDATION

Underwrite this as a 24-month hold with an ADU build in year two. The below-market basis is the protection; the rent reposition and the added doors are the return. If you need your capital back inside a year, this is the wrong deal — the flip on the previous slide is the right one.

The best margins never reach the MLS

The listed market is where everyone competes. Five of our eight sourcing channels cost effectively nothing and produce deals nobody else has priced yet.

AUTOMATED DAILY

Probate & trust filings

Public court records name the estate property and the representative before anything lists. Estates want simple, as-is, no repairs — which is exactly what a contractor can offer.

AUTOMATED DAILY

Pre-foreclosure notices

Notices of default are recorded 90+ days before auction. The owner can still sell and keep their equity. We solve a real problem rather than wait for the courthouse steps.

OUR STRUCTURAL EDGE

Code violations & rent escrow

The City of LA publishes buildings whose owners are losing rent to escrow over unresolved violations. A licensed GC is the one buyer who can actually fix what put them there.

THE MOAT

Our own job-site network

Crews, subs, suppliers and past clients are driving these neighbourhoods every day and see distress months before the market does. No competing fund has a field team already on the ground.

AT SCALE

Targeted direct mail

Absentee owners, 15+ years of ownership, pre-1980 builds, inside the buy-box zips. The licensed-contractor letter outperforms the generic cash-buyer postcard.

COMPOUNDING

Agent pocket listings

Every agent the system contacts becomes a relationship. Close one deal and you are on their call-before-it-lists shortlist for the next.

You watch your money the same way we do

Members get a private, encrypted portal — not a quarterly PDF. It refreshes every weekday morning with the same sweep that drives our own decisions.

SEARCH

Every live deal

Filter by strategy, region, capital required, target return, hold length and area score. Open the full underwriting on any deal.

ANALYSE

The whole file

Downside, base and upside cases, the comparable sales with sources, the risks, our recommendation and three structure options — before you commit anything.

TRACK

Your projects

Live construction progress, budget against actual by trade category, milestone dates and distributions — on the projects your capital is actually in.

PRIVATE

Encrypted per member

Your holdings are encrypted under your own passphrase and decrypted only in your browser. Other members cannot read your position. Nor can anyone who finds the page.

When a deal interests you, one button asks us for the full package: the exact address, the complete comparable-sales file, the line-item construction budget and the underwriting model — and we walk the numbers with you before anything is signed.

Three ways to participate

Illustrated on the South LA flip — \$171,782 of capital over six months, with a \$99,468 project profit in the base case.

MOST COMMON

8% preferred, then 70/30

\$71,689

41.7% on capital · 83.5% a year

You are paid an 8% preferred return before Solid Ground takes anything, then 70% of what remains. We earn most when you do.

SIMPLEST

Fixed note at 11%

\$9,448

5.5% on capital · 11.0% a year

You lend in first position at a fixed rate, secured by the property. Predictable, no exposure to project outcome — and no share of the upside.

ALIGNED

50 / 50 joint venture

\$49,734

28.9% on capital · 57.9% a year

Straight partnership, profit split down the middle from the first dollar. No preferred return, no waterfall to argue about.

Returns shown are projections for a single illustrative project in its base case, not a fund-level return, and not a guarantee. The downside case for this deal is -2.3%.

How your capital is protected — and where it is genuinely at risk

PROTECTIONS

- **A project-level LLC with recorded title.** Funds are held in a project account and released against construction milestones, not advanced in a lump sum.
- **Entry discipline.** The 70% rule means the margin of safety is bought, not hoped for. If we cannot buy at that price we do not buy.
- **Two exits underwritten on every deal** — sell, or rent and refinance — so a soft resale market does not force a sale.
- **Monthly reporting with photographs,** budget against actual, and the same portal we use internally.

REAL RISKS

- **Prices are falling in most of our submarkets.** Down 5-13% year over year. Our downside cases assume they keep falling; they may fall further.
- **Real estate is illiquid.** Capital is committed for the length of a project — 6 to 24 months — and cannot be withdrawn on demand.
- **Construction carries schedule risk** even self-performed. Permits, inspections and hidden conditions extend timelines and every extra month costs carry.
- **Loss of principal is possible.** Our downside case on the Lennox deal is -25.8%. That is a real number, not a formality.

\$3,000,000, deployed into deals that already exist

- **Minimum commitment \$100,000**, callable in tranches as deals close rather than drawn up front.
- **8% preferred return** accruing from the date your capital is called, then a 70/30 split of profit in your favour.
- **Deployment inside 90 days.** Five comp-verified deals are on the board today and the sweep adds more every weekday — this is not a fund looking for something to buy.
- **Quarterly distributions** of preferred return, with project profit distributed at each exit.

\$1.9M

capital required by the five deals on the board today

6-24

months, the range of project hold periods

8%

preferred return, paid before we take anything

70/30

profit split in your favour after the preferred

NEXT STEPS

Come and look at the board.

The fastest way to judge this is not another deck — it is thirty minutes inside the portal, walking through the five live deals, their comparable sales and their downside cases. We will issue you credentials before the meeting.

01

Portal access

Private credentials issued to you, valid immediately. Look at every live deal and its full underwriting.

02

Walk a deal

We take you line by line through one deal you choose — comps, budget, downside — with nothing withheld.

03

Documents

Offering documents prepared with securities counsel, for review by your own advisers.

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IMPORTANT INFORMATION

This presentation is for discussion purposes only. It is not an offer to sell, nor a solicitation of an offer to buy, any security. Any offering of interests in Solid Ground Capital will be made only to qualified investors, and only through formal offering documents prepared with securities counsel, which should be read in full before any investment decision.

All returns shown are **projections** for individual illustrative projects, not fund-level returns, and are not guaranteed. They are derived from current market comparable sales and Solid Ground's in-house construction pricing as of July 2026. No case assumes property appreciation or rent growth. Actual results will differ, potentially materially. Downside cases shown are illustrative adverse scenarios, not worst-case outcomes; losses may exceed them.

Real estate investment involves substantial risk, including illiquidity, leverage, construction and permitting delay, and the possible **loss of some or all of the capital invested**. Property values in several of the submarkets described have declined between 5% and 13% over the twelve months to July 2026 and may decline further. Past performance of any project is not indicative of future results.

Property addresses are shown at block level; exact addresses, complete comparable-sales files and construction budgets are provided under the diligence process. Comparable sales are drawn from public listing and sales records and have not been independently appraised.

Prospective investors should consult their own legal, tax and financial advisers before investing. Solid Ground Construction is a licensed California general contractor. Nothing herein constitutes legal, tax or investment advice.